Effective Date:
October 1, 2026

Background:
During Open Enrollment when information reported at renewal results in potential eligibility to Modified Adjusted Gross Income (MAGI) or Non-MAGI Medi-Cal, a California Healthcare Eligibility, Enrollment, and Retention System (CalHEERS) Advanced Premium Tax Credit (APTC) to MAGI referral is generated and sent to the county to make a final eligibility determination.

Purpose:
The purpose of this Special Notice (SN) is to provide staff with guidance on processing APTC to MAGI renewal referrals during the Open enrollment period. Open enrollment for Covered California will run from November 1, 2026, through January 31, 2027. Effective **October 1, 2026**, Covered California cases will go into renewal mode. Current members may begin renewing or switching plans on this date.

Procedure:
When an APTC to MAGI referral is received, customers are placed in a Carry Forward Status (CFS) hold to prevent a loss of coverage while a Medi-Cal evaluation is in process. If Medi-Cal eligibility is established, the benefits will be granted effective the first day of the month of transition (**January 1, 2027**). Refer to Medi-Cal Program Guide (MPG) section 04.02.22F Processing Transitioning Cases from APTC to Medi-Cal for more information on CFS.

Multiple Referrals Received
When multiple referrals with the same MAGI case numbers are received for different Benefit Months, review each referral to determine if it meets the APTC to MAGI Renewal criteria.

Review each referral received on or after October 1, 2026, to determine if any have a Benefit Month prior to **01/2027**.

- If multiple referrals are received and any indicate a **Continuing** Run Reason with a Benefit Month of 10/2026, 11/2026 or 12/2026, treat the referral as a regular APTC to MAGI referral and use the earliest Initiated Date as the application date. Assign the application to the regular Family Resource Center (FRC) caseload bank and follow the standard application processing guidelines.
- If one or more referrals are received and all have a Benefit Month of 01/2027 with a **Renewal** Run Reason, treat the referral as an APTC to MAGI Renewal Referral. Assign the application to the appropriate “FRC CalHEERS DPC Hold” caseload bank through November 30, 2026, and hold for processing until December 1, 2026.

Note: The Document Processing Center (DPC) will continue to clear and register applications for Referrals and will assist FRCs with Determination Changes upon request. When referring Determination Changes to the DPC, include the correct application date and indicate whether the MAGI Referral is a Renewal or a regular APTC to MAGI.

Referral Types:

Renewal APTC to MAGI referral:

Renewal APTC to MAGI referrals are dated October 1 – December 31, 2026, and will display a Run Reason of **Renewal – manual renewal** with a Benefit Month of **01/2027.**



Determination Change APTC to MAGI referral:

A normal Determination Change APTC to MAGI referral will be dated any time of the year and will display a Run Reason of **Continuing** with the Benefit Month starting the first of the month following the discontinuance of APTC.



Required Action for DPC:

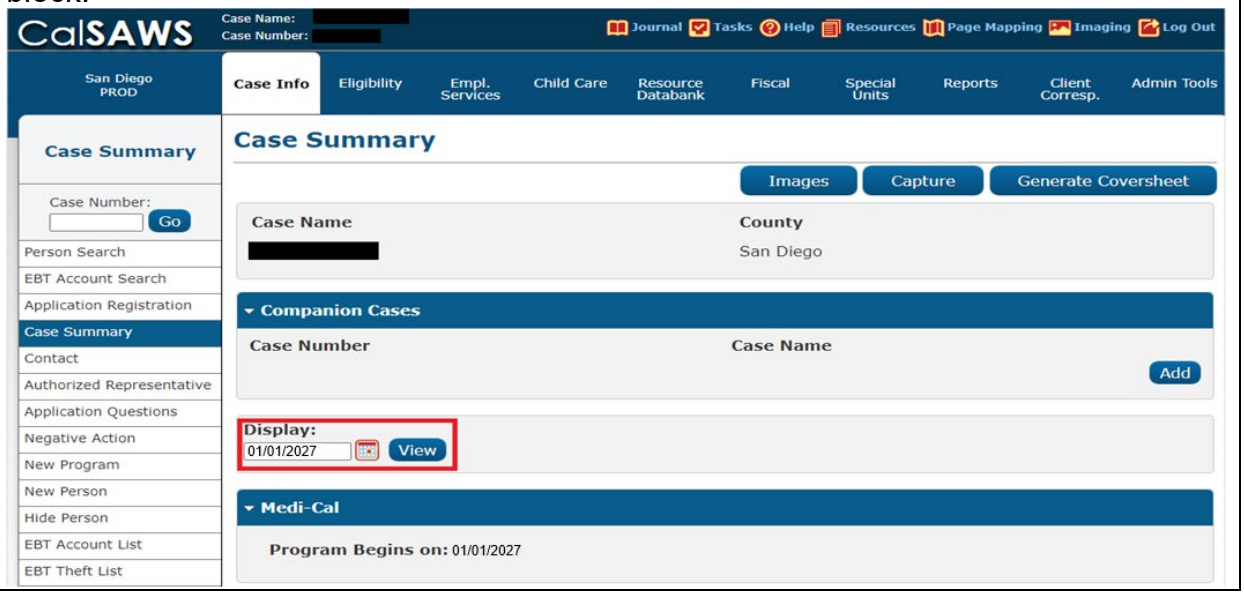
Caseload bank assignment instructions are valid through **November 30, 2026**. After this date, DPC shall no longer place CalHEERS referrals in the "CalHEERS DPC Hold" caseload banks and will resume the regular FRC bank assignment process. All other instructions in this SN will remain in effect for renewal related APTC to MAGI referrals.

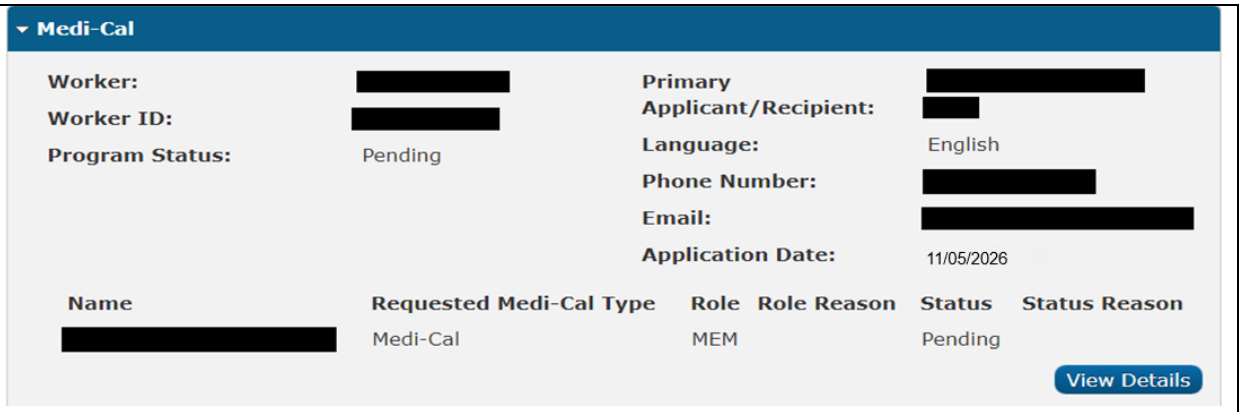
To register a 2026 Renewal APTC to MAGI Referral, DPC staff must:

- Complete a case clearance
- Identify if the CalHEERS referral meets the Renewal APTC to MAGI criteria
- Register an application in CalSAWS using the date the referral was received
- Complete a Journal Entry (JE) and include Renewal APTC to MAGI Referral
- Assign the referral to the appropriate FRC caseload below:

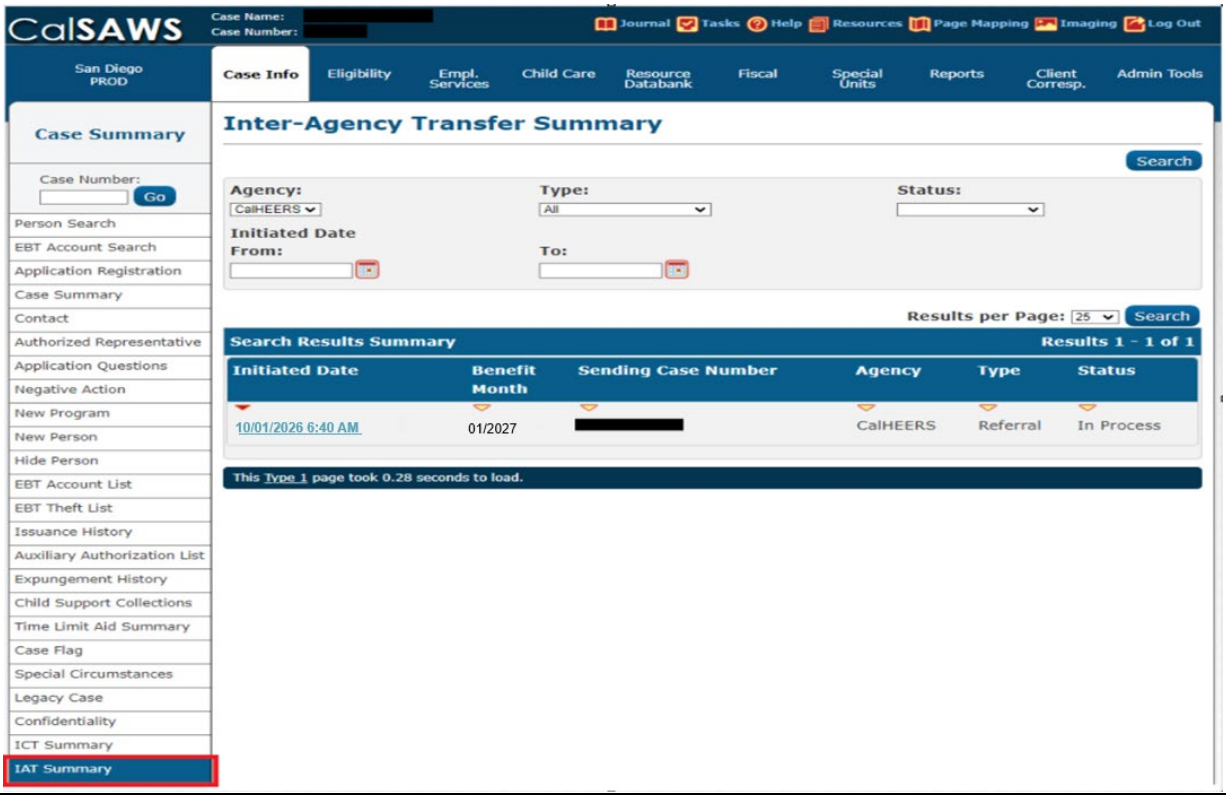
Last Name	First Name	CalSAWS Caseload	Office
CC CalHEERS DPC Hold	Bank	37LS09420S	Centre City, Metro
EC CalHEERS DPC Hold	Bank	37LS023A0Q	El Cajon
LG CalHEERS DPC Hold	Bank	37LS032X0S	Lemon Grove
NC CalHEERS DPC Hold	Bank	37LS053H0R	North Coastal
NCE CalHEERS DPC Hold	Bank	37LS012W0Y	North Central
NE CalHEERS DPC Hold	Bank	37LS0C4H0R	Northeast
NI CalHEERS DPC Hold	Bank	37LS06480R	North Inland, Fallbrook, Ramona
SE CalHEERS DPC Hold	Bank	37LS0F3M0S	Southeastern
SR CalHEERS DPC Hold	Bank	37LS045Y0S	Chula Vista
SRNC CalHEERS DPC Hold	Bank	37LS3KOI0T	National City

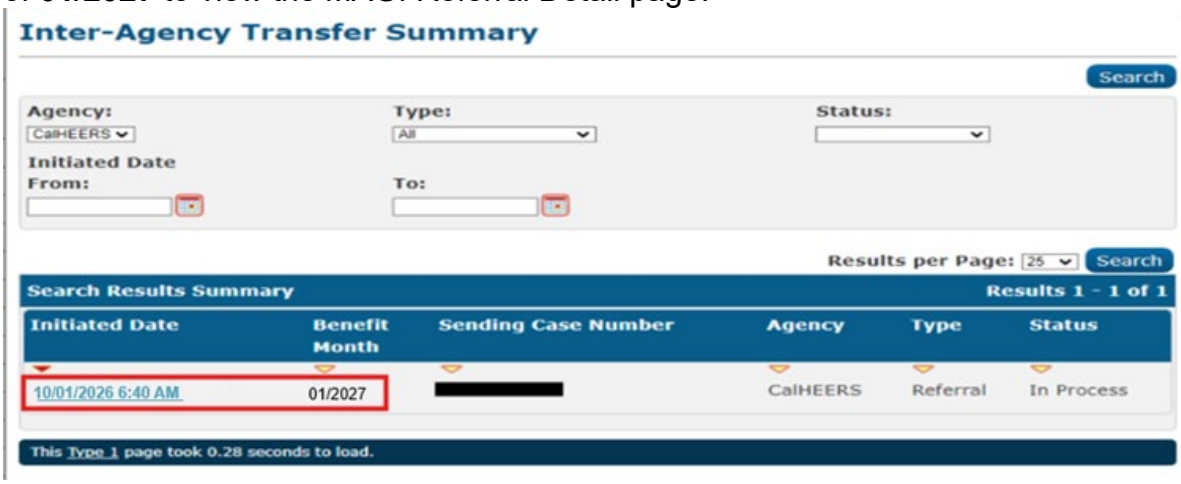
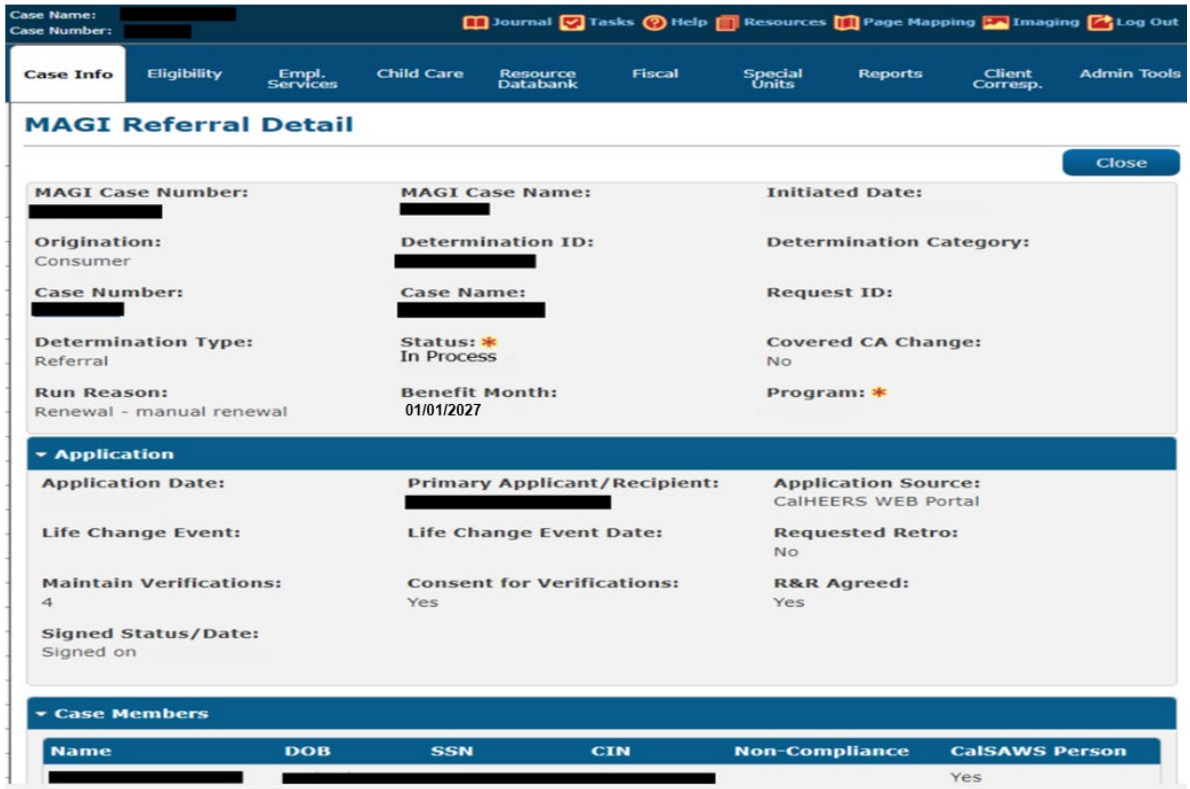
Renewal APTC to MAGI Referral Processing:
Renewal APTC to MAGI Referrals must not be processed until **December 1, 2026,** due to CalHEERS functionality. Processing cases prior to this date will result in a disruption to the customer's APTC benefits.

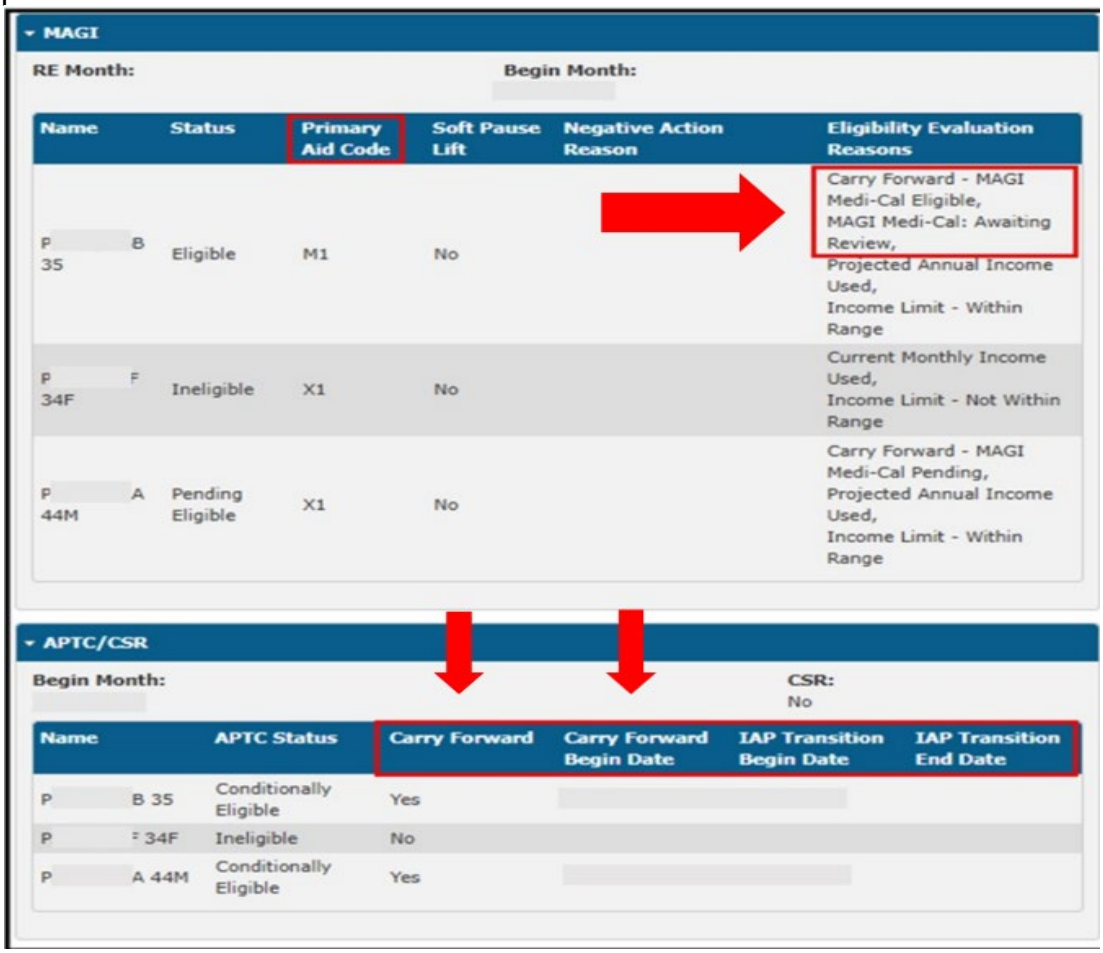
Step	Actions
1	Enter the case number and open the Case Summary page. On the Display field enter **01/01/2027** and click View to see the application information in the Medi-Cal Program block. 



2 Click Inter-Agency Transfer (IAT) Summary on the Task Navigation Bar to view CalHEERS referrals.



3	From the IAT Summary page, select the Initiated Date Hyperlink with Benefit Month of **01/2027** to view the MAGI Referral Detail page. 
4	The MAGI Referral Detail page allows you to view application details such as household composition, tax household, requesting status, program information (MAGI/APTC/Non-MAGI), and Authorized Representatives (ARs).  Additional information and verifications can be viewed by clicking on the hyperlink for each case member listed under the Case Members block to display the MAGI Person Detail page.

5	The MAGI Determination Summary page will reflect information on the CFS from CalHEERS. To lift a Carry Forward hold, staff must update customer information in CalSAWS, request MAGI for the appropriate benefit month(s), accept and authorize the Eligibility Determination and Benefit Calculation (EDBC) results. This will send a disposition transaction to CalHEERS to lift the CFS.  **MAGI** **RE Month:** **Begin Month:** **Name** / **Status** / **Primary Aid Code** / **Soft Pause Lift** / **Negative Action Reason** / **Eligibility Evaluation Reasons** P B 35 / Eligible / M1 / No / Carry Forward - MAGI Medi-Cal Eligible, MAGI Medi-Cal: Awaiting Review, Projected Annual Income Used, Income Limit - Within Range P F 34F / Ineligible / X1 / No / Current Monthly Income Used, Income Limit - Not Within Range P A 44M / Pending Eligible / X1 / No / Carry Forward - MAGI Medi-Cal Pending, Projected Annual Income Used, Income Limit - Within Range **APTC/CSR** **Begin Month:** **CSR:** No **Name** / **APTC Status** / **Carry Forward** / **Carry Forward Begin Date** / **IAP Transition Begin Date** / **IAP Transition End Date** P B 35 / Conditionally Eligible / Yes P F 34F / Ineligible / No P A 44M / Conditionally Eligible / Yes
6	Once results have been accepted, complete a JE and send the appropriate Notice of Action (NOA).

Note: Customers who are transitioning to Medi-Cal from a Qualifying Health Plan (QHP) with APTC may request retroactive coverage. Refer to MPG 04.02.10I for additional information.

Required Action for FRCs - Determination Changes

Within the context of a case, go to the IAT Summary page. The Search Results Summary will display all referrals received. Determine whether the Determination Change will be processed as a Renewal or Regular APTC to MAGI Referral.

Example A - The Determination Change is treated as a regular APTC to MAGI referral with an application date of 10/02/2026.



Example B – The Determination Change is treated as a Renewal APTC to MAGI referral with a Beginning Date of Aid of 01/01/2027.



Sunset Date:
This policy will be reviewed for continuance on or by September 30, 2027.

Approval for Release:

10/21/24

Alberto Banuelos, Ph.D., Interim Director
Self-Sufficiency Services